

Real Returns 1973-2013	Corporate Bonds	T-Bills	US 10 Year	US 30 Year	Foreign 10 Year
Returns	4.84%	0.99%	3.34%	3.60%	4.12%
Volatility	6.97%	1.24%	8.73%	13.21%	7.76%
Sharpe	0.55	0.00	0.27	0.20	0.40
Max Drawdown	-39.17%	-12.54%	-44.75%	-61.18%	-32.68%

Real Returns 1973-2013	TIPS	GSCI	REITs	Gold
Returns	3.29%	3.73%	5.03%	3.01%
Volatility	6.40%	20.19%	18.18%	20.77%
Sharpe	0.36	0.14	0.22	0.10
Max Drawdown	-22.33%	-66.40%	-69.26%	-84.59%

Source: Global Financial Data

If an investor were to take the data back further, or use daily data observations, those drawdowns only get bigger. It is a sad fact that as an investor, you are either at an all-time high with your portfolio or in a drawdown – there is no middle ground – and the largest absolute drawdown will always be in your future as the number can only grow larger. (Unless you went bankrupt of course as then the amount is a total loss. Sadly, Brazil’s richest man experienced this event when he lost over \$30 billion – [here is a good article on the topic](#) with lots of lessons for individuals as well.)

One of the biggest challenges of investing is that any asset can have a long period of underperformance relative to other assets - or even outright negative returns and losses. Cliff Asness, co-founder of AQR Capital Management, has a fun piece out on his blog titled “[Efficient Frontier “Theory” for the Long Run](#)”, where he talks about five-year periods in stocks, bonds, and commodities and basically how anything can happen over short periods of time. (Although for many investors, five years can feel like a lifetime.)

Using the data in Figure 24, we examine returns during two periods, inflationary 1973-1981 and falling inflation/disinflation 1982-2013. We also look at asset returns by decade. The final line in the table is the volatility of *decade* returns. While there are only five observations its helps to demonstrate the decade level consistency.